



Figure 36.4 Bulkowski sold this stock after two gaps appeared.

I received a fill at 821.88, which is just below the closing price on the day shown on the chart.

The attempt at a second peak (a double top) never happened, but my prediction that the stock would continue down was correct. The stock hit bottom at 250 in late March 1999 for a drop of 70% below my sale price.

I don't use gaps often in my trading, but this is an example of how I have used them in the past. Gaps have helped me exit stocks near the peak. The gap is an exit signal, but knowledge of the stock's fundamentals and technicals also helps time the exit and gives me confidence that the sell decision is correct.